

ELIZABETH II



British Airways Board Act 1977

1977 CHAPTER 13

An Act to consolidate Part III and Schedule 8 of the Civil Aviation Act 1971 and certain enactments in Part IV of that Act and the Air Corporations Act 1967 and certain provisions of the Air Corporations (Dissolution) Order 1973 with corrections and minor improvements made under the Consolidation of Enactments (Procedure) Act 1949. [30th March 1977]

BE IT ENACTED by the Queen's most Excellent Majesty, by and with the advice and consent of the Lords Spiritual and Temporal, and Commons, in this present Parliament assembled, and by the authority of the same, as follows:—

Constitution

1.—(1) There shall continue to be a body corporate called the British Airways Board (and hereafter in this Act referred to as "the Board") which shall be constituted in accordance with the following provisions of this Act and shall have the functions conferred on it by or under those provisions.

Constitution
of the British
Airways
Board.

(2) The Board shall consist of not less than eight nor more than fifteen persons appointed by the Secretary of State to be members of the Board; and the Secretary of State—

- (a) shall appoint one member to be the chairman of the Board; and
- (b) may appoint one or more other members to be a deputy chairman or deputy chairmen of the Board.

(3) The provisions of Schedule 1 to this Act shall have effect with respect to the Board.

(4) It is hereby declared that the Board is not to be regarded as the servant or agent of the Crown, or as enjoying any status, immunity or privilege of the Crown, or (subject to the provisions of this Act relating to stamp duty) as exempt from any tax, duty, rate, levy or other charge whatsoever, whether general or local, and that its property is not to be regarded as property of or held on behalf of the Crown.

General functions of the Board

General
powers.

2.—(1) Subject to the following provisions of this Act, the Board shall have power—

- (a) to provide air transport services and carry out all other forms of aerial work, whether on charter terms or otherwise, in any part of the world ;
- (b) without prejudice to the generality of the preceding paragraph, to do all or any of the following—
 - (i) to promote the formation of undertakings constituted for the purpose of providing air transport services or engaging in any other activities of a kind which the Board has power to carry on ;
 - (ii) to acquire any such undertaking or a financial interest in any such undertaking ;
 - (iii) to lend money to or enter into guarantees for the benefit of any such undertaking ;
- (c) to provide for any person technical advice or assistance, including research services, as respects any matter in which the Board has skill or experience ;
- (d) to do anything which is calculated to facilitate, or is conducive or incidental to, the performance of any of the Board's functions (including a function exercisable by the Board by virtue of this paragraph).

(2) The Board shall not exercise its powers under paragraph (a) or (b) of the preceding subsection except with and in accordance with a general or special authorisation given by the Secretary of State ; and the Board shall not by virtue of that subsection have power to manufacture airframes, aero-engines or airscrews except in so far as the Secretary of State provides by order that it shall have such a power.

(3) In subsection (1) of this section " air transport service " means a service for the carriage by air of passengers or cargo (including mail).

3.—(1) It shall be the duty of the Board, from time to time Reviews of when the Board considers it appropriate or the Secretary of organisation. State so requires,—

(a) to undertake a review of the group's affairs for the purpose of determining whether the carrying on of the activities of the group is organised, so far as regards the direction thereof, in the most efficient manner;

(b) to make a report to the Secretary of State upon the Board's conclusions arising from the review.

(2) It shall be the duty of the Secretary of State to lay before each House of Parliament a copy of each report made in pursuance of the preceding subsection.

(3) The Secretary of State may, after considering any report made in pursuance of subsection (1) of this section and laying a copy of it before each House of Parliament and after consulting the Board about it, give to the Board such directions as the Secretary of State considers appropriate for securing that the carrying on of the activities mentioned in that subsection is organised as there mentioned; and the Board shall not make or permit any substantial change in the organisation of the said activities except in pursuance of a direction under this subsection or with the consent of the Secretary of State.

4.—(1) Subject to subsection (2) of this section, the Secretary of State may, after consultation with the Board, give to the Board— Secretary of State's directions in the national interest etc.

(a) directions of a general character as to the performance of the Board's functions in relation to any matter appearing to the Secretary of State to affect the national interest;

(b) directions requiring the Board to dispose of any shares or stock or other financial interest held by the Board in any undertaking specified in the directions;

(c) directions requiring the Board to secure that any relevant body specified in the directions—

(i) discontinues, or restricts to an extent specified in the directions, any of the activities of the body which are so specified, or

(ii) disposes of such part of the undertaking of the body as is so specified, or

(iii) disposes of any property of the body which is so specified;

and in paragraph (c) of this subsection "relevant body" means any undertaking of which all the issued share capital is held, directly or through a nominee, by the Board.

(2) The Secretary of State shall not give directions in pursuance of paragraph (b) or (c) of the preceding subsection unless he is satisfied that he will not thereby impede or prevent the proper discharge of the Board's duties.

(3) The powers to give directions conferred by paragraphs (b) and (c) of subsection (1) of this section shall be exercisable by statutory instrument and a draft of any statutory instrument made by virtue of this subsection shall be laid before Parliament.

Provision of funds etc for the Board

Borrowing by
the Board.

5.—(1) The Board may, with the consent of or in accordance with a general authorisation given by the Secretary of State, borrow temporarily by overdraft or otherwise such sums in sterling or other currencies as the Board may require for performing its functions.

(2) The Board may borrow from the Secretary of State, or may with his consent borrow by the issue of stock or borrow in sterling from the Commission of the European Communities or from the European Investment Bank, such sums as the Board may require for capital purposes or for fulfilling a guarantee entered into by the Board.

(3) The Board may, with the consent of the Secretary of State, borrow any sums in currency other than sterling which are required by the Board for performing its functions.

(4) The Secretary of State shall not give consent or an authorisation in pursuance of the preceding provisions of this section except with the approval of the Treasury.

(5) Any sums which were borrowed by either of the corporations under section 7 of the Act of 1967 from a person other than the Board or the other corporation and in respect of which the liability became a liability of the Board by virtue of the dissolution order shall be deemed to have been duly borrowed by the Board in pursuance of this section.

Government
loans to the
Board.

6.—(1) The Secretary of State may lend to the Board any sums which the Board has power to borrow in pursuance of subsection (2) of the preceding section, and the Treasury may issue to the Secretary of State out of the National Loans Fund any sums necessary to enable the Secretary of State to make loans in pursuance of this subsection.

(2) Any loans made in pursuance of the preceding subsection shall be repaid to the Secretary of State at such times and by such methods, and interest on the loans shall be paid to him at

such times and at such rates, as he may from time to time direct; and all sums received by the Secretary of State in pursuance of this subsection shall be paid into the National Loans Fund.

(3) The Secretary of State shall prepare in respect of each financial year an account of the sums issued to him in pursuance of subsection (1) of this section and the sums received by him in pursuance of the preceding subsection and of the disposal by him of those sums and shall send the account to the Comptroller and Auditor General before the end of the month of November next following the end of that year; and the Comptroller and Auditor General shall examine, certify and report on the account and lay copies of it and of his report before each House of Parliament.

(4) The Secretary of State shall not make a loan or give a direction in pursuance of the preceding provisions of this section except with the approval of the Treasury; and the form of the account prepared in pursuance of the preceding subsection and the manner of preparing it shall be such as the Treasury may direct.

7.—(1) The Secretary of State may pay to the Board out of money provided by Parliament such sums as the Secretary of State thinks fit.

Other
government
investment
for the Board.

(2) In consideration of receiving sums in pursuance of the preceding subsection the Board shall make to the Secretary of State, as respects each accounting year (except such a year as respects which the Board satisfies the Secretary of State that it is inappropriate to make a payment in pursuance of this subsection), payments of such amounts as may be proposed by the Board and agreed by the Secretary of State or such other amounts as the Secretary of State may determine after consultation with the Board; and any sums received by the Secretary of State in pursuance of this subsection shall be paid into the Consolidated Fund.

(3) The account prepared in respect of any financial year in pursuance of the preceding section shall include particulars of the sums which in that year are paid to the Board or are paid into the Consolidated Fund in pursuance of this section.

(4) The Secretary of State shall not make a payment, signify agreement or make a determination in pursuance of the preceding provisions of this section except with the approval of the Treasury.

Transitional provisions relating to investments.

1969 c. 43.

8. There shall be deemed to have been made to the Board on 1st April 1972—

- (a) a loan under section 6(1) of this Act equal to the capital amounts outstanding immediately before that date in respect of the advances made to BEA under section 8 of the Act of 1967 and the debt assumed by BEA under section 1(2) of the Air Corporations Act 1969 ; and
- (b) a payment under section 7(1) of this Act equal to the capital amounts so outstanding in respect of the sums paid to BOAC under section 14 of the Act of 1967 (including the sums treated as so paid by virtue of section 14(3)(b) or deemed to have been so paid by virtue of section 15 of that Act) ;

and that loan and that payment shall be deemed to have been so made on the same terms as to repayment and the payment of interest (but with the substitution of references to the Board for references to either of the corporations and with any other necessary modifications) as the terms as to those matters which immediately before the date aforesaid related to the corresponding outstanding amounts aforesaid.

Limit on borrowing and other investment.

9.—(1) Subject to subsections (2) and (3) of this section, the aggregate of—

- (a) the amount outstanding in respect of the principal of moneys borrowed by the Board (including the loan mentioned in paragraph (a) of the preceding section) ; and
- (b) the payments made to the Board under section 7(1) of this Act (including the payment mentioned in paragraph (b) of the preceding section),

shall not at any time exceed £700 million.

(2) The following sums shall be disregarded for the purposes of the preceding subsection, that is to say—

- (a) such part of the payment mentioned in paragraph (b) of the preceding section as represents the sums in respect of which directions were given under section 14(3)(b) of the Act of 1967 (which provided for certain sums in BOAC's reserve fund to be treated as paid by the Secretary of State under that section) ;
- (b) any sum which is the subject of directions under section 14(1)(b) of this Act.

(3) Nothing in subsection (1) of this section shall prevent the Board from borrowing in excess of the limit imposed by that

subsection for the purpose of paying off a loan or redeeming stock which the Board is required or entitled to redeem.

(4) Sections 5 to 7 of this Act shall have effect subject to the preceding provisions of this section.

10.—(1) The Board may create and issue any stock required ^{Stock.} for the purpose of exercising its powers under section 5(2) of this Act and may with the consent of the Secretary of State create and issue stock which is to be allotted as consideration for the acquisition of undertakings or of shares or stock in undertakings.

(2) Stock issued by the Board and the interest on the stock shall be charged on the undertaking and all property and revenues of the Board.

(3) The stock of the Board shall be issued, transferred, dealt with and redeemed on such terms as the Secretary of State may determine in accordance with regulations made by him.

(4) The Secretary of State shall not give consent or make regulations in pursuance of the preceding provisions of this section except with the approval of the Treasury.

11.—(1) The Treasury may guarantee, in such manner and ^{Treasury} on such conditions as they think fit,— ^{guarantees.}

(a) the redemption or repayment of, and the payment of any interest on, any stock issued or loan raised by the Board or either of the corporations ;

(b) the payment by the Board of any debt incurred by the Board or either of the corporations, being a debt which is to be discharged in currency other than sterling and is not a debt in respect of a loan raised by the Board or either of the corporations.

(2) Any sums required by the Treasury for fulfilling a guarantee given under this section shall be charged on and issued out of the Consolidated Fund, and any sums received by way of repayment of any sums so issued or by way of interest thereon, shall be paid into that Fund.

(3) The undertaking and all property and revenues of the Board shall be charged with the repayment of any sums so issued out of the Consolidated Fund, including interest thereon at such rates as the Treasury may determine ; and any such charge shall rank—

(a) where the charge is a charge for the repayment of sums issued out of the Consolidated Fund in respect of stock,

next after the principal and interest of the stock and any sums which the Board is bound to set aside towards the redemption of the stock, and in priority to any other charge not existing at the date of the issue of the stock ;

- (b) where the charge is a charge for the repayment of sums issued out of the Consolidated Fund in respect of a loan, next after the principal and interest of the loan (in so far as that principal or interest are charged upon the undertaking, property or revenues of the Board), and in priority to any other charge not existing at the date of the raising of the loan ;
- (c) where the charge is a charge for the repayment of sums issued out of the Consolidated Fund in respect of such a debt as is mentioned in subsection (1)(b) of this section, next after that debt (in so far as that debt is charged upon the undertaking, property or revenues of the Board), and in priority to any other charge not existing at the date when the debt was incurred.

(4) Immediately after any guarantee is given under this section, the Treasury shall lay a statement of the guarantee before each House of Parliament.

(5) Where any sum is issued out of the Consolidated Fund under this section, the Treasury shall, as soon as possible after the end of each financial year beginning with that in which the sum is issued and ending with that in which all liability in respect of the principal of the sum and in respect of interest thereon is finally discharged, lay before each House of Parliament an account of that sum and of any payments made, during the financial year to which the account relates, by way of repayment of that sum or by way of interest thereon.

(6) Any guarantee given by the Treasury under section 10 of the Act of 1967 in respect of a liability of one of the corporations which became a liability of the Board by virtue of the dissolution order shall have effect as a guarantee by the Treasury under this section in respect of a liability of the Board.

Further financial provisions

12. It shall be the duty of the Board to secure that any member of the group—

- (a) in framing and carrying out proposals involving substantial outlay on capital account ; and
- (b) in framing and carrying out proposals involving the taking on hire, from a person who is not such a member, of any equipment of which the purchase by the

Control of capital expenditure and of hiring of equipment.

member at the time of the taking on hire would involve such an outlay,

acts on lines settled from time to time by the Board with the approval of the Secretary of State.

13.—(1) It shall be the duty of the Secretary of State to determine the rate of return on net assets (as for the time being defined for the purposes of this section by the Secretary of State) which, having regard to the provisions of section 7(2) of this Act, the Secretary of State considers it is reasonable for the group to achieve as respects a period specified in the determination.

Control of
return on net
assets etc.

(2) A determination under this section may—

- (a) specify a period beginning before the date on which the determination is made; and
- (b) be varied by a subsequent determination under this section;

but nothing in paragraph (b) of this subsection shall be construed as implying that a determination under any other provision of this Act may not be varied.

(3) The Secretary of State shall not make a determination under this section except with the approval of the Treasury and after consultation with the Board; and it shall be the duty of the Secretary of State to give the Board notice of each determination made under this section.

(4) It shall be the duty of the Board during any period specified in a determination under this section to exercise its powers with a view to securing that the group achieves a rate of return on net assets in respect of that period which is not less than the rate specified in the determination as for the time being in force.

(5) The Secretary of State may by order—

- (a) substitute for the duty imposed on the Board by virtue of the preceding subsection a financial duty expressed otherwise than by reference to a rate of return on net assets;
- (b) provide that subsections (1) to (4) of this section shall have effect with such modifications as the Secretary of State considers appropriate in consequence of the substitution; and

- (c) without prejudice to section 21(3)(b) of this Act, make such other incidental or transitional provision as the Secretary of State considers appropriate in consequence of the substitution.

Reserves.**14.—(1) The Secretary of State may give to the Board—**

- (a) directions with respect to the establishment and maintenance of reserves by the Board and with respect to the sums to be from time to time transferred to those reserves, the management of those reserves and the application of those reserves ;
- (b) directions providing that a sum standing to the credit of reserves maintained by the Board (whether by virtue of the preceding paragraph or otherwise) shall be deemed to be a loan made to the Board in pursuance of section 6(1) of this Act or a payment made to the Board in pursuance of section 7(1) of this Act.

(2) Directions given in pursuance of the preceding subsection may be made to have effect from a date earlier than that on which they are given ; but no directions shall be given in pursuance of that subsection except after consultation with the Board and with the approval of the Treasury.

Accounts and audit.**15.—(1) It shall be the duty of the Board—**

- (a) to keep proper accounts and proper records in relation to the accounts ; and
- (b) to prepare in respect of each accounting year, in such form as the Secretary of State with the approval of the Treasury may direct, a statement of those accounts and a statement of the accounts of the group showing the state of affairs and the profit or loss of the Board and of the group respectively ;

and each statement prepared in respect of any accounting year in pursuance of this subsection shall include such particulars as the Secretary of State may direct with respect to any body which was a subsidiary or joint subsidiary at any time during that year.

(2) The accounts kept and the statements prepared in pursuance of the preceding subsection shall be audited by auditors appointed annually by the Secretary of State ; and a person shall not be qualified to be so appointed unless he is a member of one or more of the following bodies—

the Institute of Chartered Accountants in England and Wales ;

the Institute of Chartered Accountants of Scotland ;
 the Association of Certified Accountants ;
 the Institute of Chartered Accountants in Ireland ;
 any other body of accountants established in the United Kingdom and for the time being recognised for the purposes of section 161(1)(a) of the Companies Act 1948 1948 c. 38. by the Secretary of State ;

but a Scottish firm may be so appointed if each of the partners therein is qualified to be so appointed.

(3) As soon as the accounts and statement of accounts of the Board and the statement of accounts of the group for any accounting year have been audited, the Board shall send to the Secretary of State a copy of those statements together with a copy of any report made by the auditors on those statements or on the accounts of the Board ; and it shall be the duty of the Secretary of State to lay before each House of Parliament a copy of every statement and report of which a copy is received by him in pursuance of this subsection.

Miscellaneous

16.—(1) It shall be the duty of the Board to make to the Secretary of State, as soon as possible after the end of each accounting year, a report dealing with the operations of the group during that year. Annual report.

(2) The report made by the Board for any accounting year in pursuance of the preceding subsection shall set out any direction given to the Board in pursuance of section 3 or section 4(1)(a) of this Act except any direction or part of a direction as to which the Secretary of State has notified the Board that in his opinion it would be against the national interest to set it out.

(3) It shall be the duty of the Secretary of State to lay before each House of Parliament a copy of each report received by him in pursuance of this section.

17. Without prejudice to its duties apart from this section, it shall be the duty of the Board to provide the Secretary of State with such information as he may from time to time require with respect to the property, financial position, activities or proposed activities of the group or any member of the group ; but no such requirement shall impose upon the Board the duty of providing the Secretary of State with information which the Board does not possess and cannot reasonably be expected to obtain. Provision by Board of information for Secretary of State.

Pensions.

18.—(1) The Board may, in the case of such of the persons mentioned in the following subsection as may be determined by it, pay such pensions, allowances or gratuities to or in respect of those persons as may be so determined, make such payments towards the provision of such pensions, allowances or gratuities as may be so determined or establish and maintain such schemes (whether contributory or not) for the payment of such pensions, allowances or gratuities as may be so determined.

(2) The said persons are—

- (a) employees of any member of the group ;
- (b) employees of the board of trustees of any joint medical services of the group ;
- (c) persons employed by any other person in connection with the management and administration of any scheme established and maintained by virtue of the preceding subsection ; and
- (d) any person not mentioned in the preceding provisions of this subsection in respect of whom, by virtue of subsection (3) of section 56 of the Act of 1971 (which, as amended by section 21 of the Superannuation Act 1972, specified persons in respect of whom a pension scheme might be established in pursuance of subsection (1) of the said section 56) the Board or either of the corporations had power to establish such a scheme at any time during the period beginning with 1st April 1972 and ending with 31st March 1974.

(3) Any scheme which—

- (a) was established by virtue of regulations made under section 24 of the Act of 1967 (which related to pension schemes for employees of the corporations and certain other persons) and was in force immediately before 1st April 1972 ; or
- (b) was established by virtue of section 56(2) of the Act of 1971 and was in force immediately before 1st April 1974,

shall, unless and until terminated in accordance with its provisions, have effect as if it had been established by virtue of subsection (1) of this section and, in the case of a scheme falling within paragraph (a) of this subsection, as if the persons in respect of whose service benefits may be provided under the scheme included, in addition to the persons mentioned in subsection (1) of the said section 24, the other persons mentioned in the preceding subsection.

(4) The Board shall take such steps as it thinks expedient to secure the participation in a scheme falling within paragraph (a) of the preceding subsection, on such terms as it thinks fit (which may include terms as to the payment of contributions by participants and their employers and former employers or any of them), of such persons as the Board may determine, being employees of the Board or a joint subsidiary or an undertaking which is a subsidiary by reference to share capital held by, or a power to appoint directors vested in, the Board.

(5) Where a participant in a scheme maintained by virtue of subsection (1) of this section—

(a) has become a member of the Board or a director of any other member of the group ; or

(b) has at any time before 1st April 1974 become—

(i) a member of either of the corporations, or

(ii) a director of an undertaking which was, by reference to either of the corporations, a subsidiary or joint subsidiary within the meaning of Part III of the Act of 1971 at the time when he became a director of it,

his service as such a member or director (whether before or after the passing of this Act) shall be treated for the purposes of the scheme as if it were service as an employee of the person in whose employment he was or was treated for those purposes as being when he became such a member or director.

19. Where the payment of principal and interest on any Stamp duty stock issued by the Board or either of the corporations is guaranteed by the Treasury, transfers of the stock shall be exempt from all stamp duty.

Special powers in case of emergency

20.—(1) In time of war whether actual or imminent, or of great national emergency, the Secretary of State may by order require that the whole or any part of the undertaking of, or of any property or rights of, or under the control of, the Board shall be placed at the disposal of the Secretary of State.

Secretary
of State's
powers in
emergency.

(2) So long as any such order is in force, the Board shall comply with any directions which may be given to it by the Secretary of State.

1949 c. 67.

(3) An order under this section may make, for the purposes of the order, such provision as an Order in Council under section 8 of the Civil Aviation Act 1949 may make for the purpose of securing compliance with provisions of the Order having effect by virtue of subsection (2)(i) of that section.

(4) Section 58 of the said Act of 1949 (which authorises any order under the enactments there specified to provide for the detention of aircraft to secure compliance with the order) shall have effect as if any reference to an order under an enactment to which Part VI of that Act applies included a reference to an order made under this section ; but this provision shall be without prejudice to the preceding subsection.

(5) Any person who suffers direct injury or loss owing to the operation of an order of the Secretary of State under this section shall be entitled to receive compensation from the Secretary of State of which the amount shall be fixed, in default of agreement, by the appropriate tribunal ; and the principles of the Land Compensation Act shall, with the necessary modifications, apply where possession is taken of any land.

(6) In this section—

1961 c. 33.

(a) in relation to England and Wales, “the appropriate tribunal” means the Lands Tribunal and “the Land Compensation Act” means the Land Compensation Act 1961 ;

1963 c. 51.

(b) in relation to Scotland, “the appropriate tribunal” means the Lands Tribunal for Scotland and “the Land Compensation Act” means the Land Compensation (Scotland) Act 1963 ;

1919 c. 57.

(c) in relation to Northern Ireland, “the appropriate tribunal” means the Lands Tribunal for Northern Ireland and “the Land Compensation Act” means the Acquisition of Land (Assessment of Compensation) Act 1919.

(7) Any expense incurred by the Secretary of State in the exercise of his powers under this section shall be paid out of money provided by Parliament.

Supplemental

Orders and
regulations.

21.—(1) Any power to make an order or regulations which is conferred on the Secretary of State by this Act shall be exercisable by statutory instrument ; and any statutory instrument made by virtue of this subsection (except an instrument containing only an order made in pursuance of the preceding section or

such orders as are mentioned in the following subsection) shall be subject to annulment in pursuance of a resolution of either House of Parliament.

(2) No order shall be made under section 13(5) or 24(2) of this Act unless a draft of the order has been approved by resolution of each House of Parliament.

(3) An order made by the Secretary of State in pursuance of any provision of this Act may be revoked or varied by a subsequent order made in pursuance of that provision ; and any power to make an order or regulations which is conferred on the Secretary of State by this Act (excluding the preceding section but without prejudice to the powers conferred by that section) includes power—

(a) to make different provision for different circumstances ;
and

(b) to include in the order or regulations such incidental or supplementary provisions as the Secretary of State considers appropriate for the purposes of the order or regulations.

22.—(1) In this Act the following expressions have the following meanings except where the context otherwise requires—

“ accounting year ” means the period of twelve months ending with 31st March in any year ;

“ the Act of 1967 ” means the Air Corporations Act 1967 ; 1967 c. 33.

“ the Act of 1971 ” means the Civil Aviation Act 1971 ; 1971 c. 75.

“ the Board ” means the British Airways Board ;

“ BOAC ” and “ BEA ” mean respectively the British Overseas Airways Corporation and the British European Airways Corporation, and “ the corporations ” means those Corporations ;

“ the dissolution order ” means the Air Corporations (Dissolution) Order 1973 ;

“ functions ” includes powers and duties ;

“ the group ” means the Board and all subsidiaries and joint subsidiaries, and “ member of the group ” shall be construed accordingly ;

“ joint subsidiary ” means any undertaking of which two or more of the following bodies, that is to say the Board and all subsidiaries, are members and which would, if the interests and powers relating to the undertaking of such of those bodies as are members of it were vested in one of those bodies, be a subsidiary by reference to that one of them ;

"modifications" includes additions, omissions and amendments; and

"subsidiary" means any undertaking of which more than one half of the issued share capital is held, directly or through a nominee, by the Board and any undertaking in relation to which the Board has power directly or indirectly to appoint the majority of the directors.

(2) References in this Act to any enactment are references to that enactment as amended by or under any other enactment; and in the application of this Act to Northern Ireland "enactment" includes an enactment of the Parliament of Northern Ireland.

Application
of Act to
certain
overseas
territories.

23.—(1) Her Majesty may by Order in Council direct—

(a) that any of the provisions of this Act shall extend, with such modifications (if any) as may be specified in the Order, to any of the Channel Islands or to the Isle of Man;

(b) that any of the provisions of this Act, except so much of section 19 as relates to stock issued by either of the corporations and except section 20 and paragraphs 10 and 14 of Schedule 1, shall extend, with such modifications (if any) as may be specified in the Order, to any colony and any country or place outside Her Majesty's dominions in which for the time being Her Majesty has jurisdiction.

(2) An Order in Council made by virtue of the preceding subsection may—

(a) provide for the payment of sums out of money provided by Parliament for any purpose for which sums are required to be so paid in consequence of the extension of the following provisions of this Act, namely, section 11, so much of section 19 as relates to stock issued by either of the corporations, section 20 or paragraph 10 or 14 of Schedule 1 to any of the Channel Islands or to the Isle of Man;

(b) be revoked or varied by a subsequent Order in Council made by virtue of that subsection.

Repeals and
transitional
provisions.

24.—(1) Subject to subsections (2) to (5) of this section, the enactments and order mentioned in Schedule 2 to this Act are hereby repealed to the extent specified in the third column of that Schedule.

(2) The repeal by the preceding subsection of section 57(1) of the Act of 1971 (which related to the dissolution of the corporations) shall not affect the dissolution order; and the Secretary

of State may by order make such modifications of any enactment relating to either of the corporations (including this Act) as he considers are appropriate in consequence of the dissolution of the corporations.

(3) In so far as any instrument made or having effect as if made, or any other thing whatsoever done or having effect as if done, under any enactment repealed by subsection (1) of this section could have been made or done under a corresponding provision of this Act, it shall, if effective immediately before the commencement of this Act, have effect thereafter as if it had been made or done under that corresponding provision.

(4) Any document referring to any enactment repealed by subsection (1) of this section shall, so far as the context permits, be construed as referring to the corresponding enactment in this Act.

(5) The repeal by subsection (1) of this section of section 36(3) of the Act of 1967 shall not affect the terms and conditions on and subject to which any person held office or served immediately before 10th May 1967.

(6) Nothing in the preceding provisions of this section shall prejudice the general application of section 38 of the Interpretation Act 1889 (which relates to repeals).

(7) In paragraph 15 of Schedule 10 to the Act of 1971 for the words "the Board" there shall be substituted the words "the British Airways Board".

25.—(1) This Act may be cited as the British Airways Board Act 1977. Short title,
commence-
ment and
extent.

(2) This Act shall come into force on the expiration of the period of one month beginning with the date on which it is passed.

(3) This Act extends to Northern Ireland.

SCHEDULES

Section 1(3)

SCHEDULE 1

ADDITIONAL PROVISIONS RELATING TO CONSTITUTION ETC
OF BRITISH AIRWAYS BOARD*Appointment and tenure of members*

1. It shall be the duty of the Secretary of State—

(a) to satisfy himself, before he appoints a person to be a member, that that person will have no such financial or other interest as is likely to affect prejudicially the performance of his functions as a member ; and

(b) to satisfy himself from time to time with respect to each member that he has no such interest ;

and a person who is a member or whom the Secretary of State proposes to appoint as a member shall, whenever requested by the Secretary of State to do so, furnish the Secretary of State with such information as he may specify with a view to carrying out his duty under this paragraph.

2. Subject to the following provisions of this Schedule, a person shall hold and vacate office as a member or the chairman or a deputy chairman in accordance with the terms of the instrument appointing him to that office.

3. A person may at any time resign his office as a member or the chairman or a deputy chairman by giving to the Secretary of State a notice in writing signed by the person in question and stating that he resigns that office.

4. Where a member becomes or ceases to be the chairman or a deputy chairman, the Secretary of State may vary the terms of the instrument appointing the person in question to be a member so as to alter the date on which he is to vacate office as a member.

5. If the chairman or a deputy chairman ceases to be a member, he shall cease to be the chairman or a deputy chairman, as the case may be.

6.—(1) If the Secretary of State is satisfied that a member—

(a) has been absent from meetings of the Board for a period longer than three consecutive months without the permission of the Board ; or

(b) has become bankrupt or made an arrangement with his creditors ; or

(c) is incapacitated by physical or mental illness ; or

(d) is otherwise unable or unfit to discharge the functions of a member,

the Secretary of State may declare his office as a member to be vacant and shall notify the declaration in such manner as he thinks fit ; and thereupon the office shall become vacant.

(2) In the application of the preceding sub-paragraph to Scotland, for the references in paragraph (b) to a member's having become bankrupt and to a member's having made an arrangement with his creditors there shall be substituted respectively references to sequestration of a member's estate having been awarded and to a member's having made a trust deed for behoof of his creditors or a composition contract.

Remuneration, pensions etc.

7. It shall be the duty of the Board to secure that the aggregate of the remuneration of a particular member in respect of his office as such and in respect of all other offices held by him as a member or a director or an employee of a member of the group is at such rate as the Secretary of State may determine with the consent of the Minister for the Civil Service.

8.—(1) The Board shall make such provision as may be determined by the Secretary of State with the approval of the said Minister for the payment of pensions, allowances or gratuities to or in respect of such members of the Board as may be so determined; and any provision made in relation to a member in pursuance of this sub-paragraph shall be in addition to the provision, if any, made in relation to him by virtue of section 18 of this Act.

(2) The Secretary of State shall as soon as possible after making a determination in pursuance of the preceding sub-paragraph lay before each House of Parliament a statement containing particulars of the determination.

9. Where a person ceases to be a member otherwise than on the expiry of his term of office and it appears to the Secretary of State that there are special circumstances which make it right for that person to receive compensation, the Secretary of State may with the approval of the said Minister direct the Board to make to that person a payment of such amount as the Secretary of State may determine with the approval of the said Minister.

Pensions etc of former members of the corporations

10. The Board shall make such provision for the payment of pensions, allowances or gratuities to or in respect of such persons who have been members of the corporations as the Board may determine, and any provision made in pursuance of this paragraph in relation to a person who has been such a member shall be in addition to the provision, if any, made in relation to him by virtue of section 18(5) of this Act.

Proceedings

11. The quorum of the Board and the arrangements relating to meetings of the Board shall be such as the Board may determine.

12.—(1) A member who is in any way directly or indirectly interested in a contract made or proposed to be made by the Board shall disclose the nature of his interest at a meeting of the Board; and the disclosure shall be recorded in the minutes of the meeting

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and the member shall not take part in any deliberation or decision of the Board with respect to that contract.

(2) A notice given by a member at a meeting of the Board to the effect that he is a member of a specified company or firm and is to be regarded as interested in any contract which is made after the date of the notice with the company or firm shall, for the purposes of the preceding sub-paragraph, be a sufficient disclosure of his interest in relation to any contract so made.

(3) A member need not attend in person at a meeting of the Board in order to make a disclosure which he is required to make under this paragraph if he takes reasonable steps to secure that the disclosure is made by a notice which is taken into consideration and read at such a meeting.

13. The validity of any proceedings of the Board shall not be affected by any vacancy among the members or by any defect in the appointment of a member or by any failure to comply with the requirements of the preceding paragraph.

Staff

14.—(1) It shall be the duty of the Board, except in so far as the Board is satisfied that adequate machinery exists for achieving the purposes of this sub-paragraph, to seek consultation with any organisation appearing to the Board to be appropriate with a view to the conclusion between the Board and that organisation of such agreements as appear to the parties to be desirable with respect to the establishment and maintenance of machinery for—

- (a) the settlement by negotiation of terms and conditions of employment of persons employed by the Board with provision for reference to arbitration in default of such settlement in such cases as may be determined by or under the agreements ; and
- (b) the discussion of matters affecting the safety, health and welfare of persons employed by the Board and of other matters of mutual interest to the Board and such persons, including efficiency in the operation of the Board's services.

(2) Where the Board concludes such an agreement as is mentioned in the preceding sub-paragraph, or any variation is made in such an agreement, the Board shall forthwith transmit particulars of the agreement or the variation to the Secretary of State.

(3) In relation to any agreement affecting employment in Northern Ireland, the reference in the preceding sub-paragraph to the Secretary of State shall be construed as including a reference to the Department of Manpower Services for Northern Ireland.

Directions

15. It shall be the duty of the Board, in addition to the duty imposed on it by section 20(2) of this Act, to comply with any directions given to it in pursuance of any other provision of this Act.

Instruments and contracts

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16. The fixing of the common seal of the Board shall be authenticated by the signature of the secretary of the Board or some other person authorised by the Board to act for that purpose.

17. A document purporting to be duly executed under the seal of the Board shall be received in evidence and shall, unless the contrary is proved, be deemed to be so executed.

Interpretation

18. In this Schedule, except where the context otherwise requires, "the chairman", "a deputy chairman" and "a member" mean respectively the chairman, a deputy chairman and a member of the Board and "gratuities" includes a refund of contributions to a pension fund with or without interest on or any other addition to the contributions.

Section 24(1).

SCHEDULE 2**REPEALS**

Chapter or number	Short title	Extent of repeal
1967 c. 33.	The Air Corporations Act 1967.	Sections 2(3), 10, 11, 23, 25, 26, 28 and 31(1). In section 31(2) the words from "and any power" to "an order" and the words "or order". Section 33(1). Section 36. Schedule 1. In paragraph 3 of Schedule 2 the words "or section 24 of this Act". Schedule 3. Section 24.
1968 c. 61.	The Civil Aviation Act 1968.	Part III. In section 63, in subsection (1) the words "an instrument containing such orders as are mentioned in the following subsection" and the words "and regulations under section 56 of this Act", and subsection (2). In section 64(1), in the definition of "accounting year", the words "or the Board or the group within the meaning of Part III of this Act" and the words "or the Board or the said group", the definition of the Board and in the definition of "subsidiary" the words "except in Part III of this Act". Schedule 8. In Schedule 10, paragraphs 16, 21(3), 22 and 23. Section 21. In section 30, subsections (3 and (5)(c). In Schedule 6, paragraphs 68 and 96. Section 36(2). In Schedule 2, paragraph 6 and in paragraph 7 the words "(2) The British Airways Board" and the entries relating to sections 41(2) and 48(2) of the Civil Aviation Act 1971.
1971 c. 75.	The Civil Aviation Act 1971.	
1972 c. 11.	The Superannuation Act 1972.	
1973 c. 51. 1974 c. 8.	The Finance Act 1973. The Statutory Corporations (Financial Provisions) Act 1974.	

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Chapter or number	Short title	Extent of repeal
1975 c. 55.	The Statutory Corporations (Financial Provisions) Act 1975.	In Schedule 2, the words "The British Airways Board".
S.I. 1973 No. 2175.	The Air Corporations (Dissolution) Order 1973.	In Schedule 4, paragraph 6(b). The following provisions, namely, paragraphs 5, 7 to 12 and 14 to 24 of the Schedule.